

Reddit Inc. (RDDT)

Q2'26 Review: Operating Momentum (Revenue and Margins) Sustain; Investments & Mgmt Focused on User Growth and Engagement

RDDT

12m Price Target: **\$215.00**Price: **\$178.04**Upside: **20.8%**

In Reddit's (RDDT) Q2'26 earnings report, management framed its operating results and forward commentary across a few key themes: 1) continued strong execution and operational output around scaling revenue growth in the core advertising business (improved ad product performance, targeting initiatives, improved conversion and growing advertiser base); 2) continued user growth volatility across various sources of traffic with efforts aimed at product improvements around converting user behavior into direct usage and more regular engagement with a focus on mobile app, retention and personalization; 3) management expressing their view that the value of content on the Reddit platform continues to rise as broader AI adoption increases, while also acknowledging that the impact of AI's diffusion across different internet platforms e.g. search remains non-linear and uncertain (and something that needs to be navigated either through product innovation or further refinement of industry relationships); 4) operating leverage remains a key cornerstone of exceeding revenue forecasts (and more than offsetting continued investments in platform and product initiatives alongside user conversion plans); & 5) no update on data licensing renewal efforts as investor questions continue to rise about the core relationship with licensing partners, how those deals might be renewed and how the overall value of data/content from the company's platform might create increased monetization potential in the coming years. In total, while the company continues to navigate some volatility in terms of the impacts that search traffic and broader AI might have on overall user traffic, management remains focused on building scaled user behavior, monetization outcomes and the overall trajectory of operating leverage on the back of that revenue cadence.

Short-term investor debates are likely to remain focused on a mixture of linear and sustained trends around user growth & engagement while also remaining focused on any changes across the overall ad macro and competitive landscape in 2H 2026. We look to

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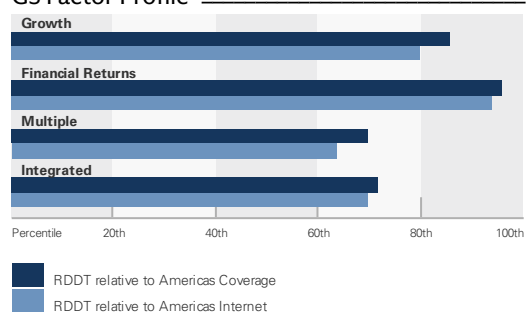
Key Data

Market cap: \$36.0bn
Enterprise value: \$32.5bn
3m ADTV: \$857.6mn
United States
Americas Internet
M&A Rank: 3

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue (\$ mn) New	2,202.5	3,382.7	4,355.5	5,408.2
Revenue (\$ mn) Old	2,202.5	3,158.8	4,127.1	5,125.1
EBITDA (\$ mn)	845.1	1,529.2	2,142.1	2,792.7
EBIT (\$ mn)	845.1	1,529.2	2,142.1	2,792.7
EPS (\$) New	4.62	7.90	10.49	13.04
EPS (\$) Old	4.62	7.24	9.74	12.07
P/E (X)	37.7	22.5	17.0	13.7
Dividend yield (%)	—	—	—	—
Net debt/EBITDA (X)	(2.9)	(2.3)	(2.4)	(2.7)
	6/26	9/26E	12/26E	3/27E
EPS (\$)	1.80	2.01	2.67	1.78

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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NEUTRAL

Reddit Inc. (RDDT)

Rating since Apr 15, 2024

Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	37.7	22.5	17.0	13.7
EV/EBITDA (X)	35.4	20.1	13.7	9.8
EV/sales (X)	13.6	9.1	6.7	5.1
FCF yield (%)	2.1	3.9	5.6	7.1
EV/DACF (X)	38.4	20.9	14.7	11.1
CROCI (%)	42.2	71.7	92.7	105.3
ROE (%)	36.9	45.2	41.8	36.6
Net debt/EBITDA (X)	(2.9)	(2.3)	(2.4)	(2.7)
Net debt/equity (%)	(84.6)	(83.9)	(86.0)	(87.7)
Interest cover (X)	—	—	—	—
Inventory days	NM	NM	NM	NM
Receivable days	77.9	77.8	81.6	83.1
Days payable outstanding	102.3	100.1	106.4	108.8

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	69.4	53.6	28.8	24.2
EBITDA growth	183.6	81.0	40.1	30.4
EPS growth	110.2	71.2	32.7	24.3
DPS growth	NM	NM	NM	NM
Gross margin	91.2	91.4	91.2	91.0
EBIT margin	38.4	45.2	49.2	51.6

Price Performance**Income Statement (\$ mn)**

	12/25	12/26E	12/27E	12/28E
Total revenue	2,202.5	3,382.7	4,355.5	5,408.2
Cost of goods sold	(193.3)	(290.3)	(384.7)	(485.8)
SG&A	(629.2)	(917.8)	(1,054.3)	(1,208.2)
R&D	(534.9)	(645.3)	(774.4)	(921.5)
Other operating inc./ (exp.)	—	—	—	—
EBITDA	845.1	1,529.2	2,142.1	2,792.7
Depreciation & amortization	(15.9)	(16.6)	(12.7)	(11.9)
EBIT	845.1	1,529.2	2,142.1	2,792.7
Net interest inc./ (exp.)	86.7	106.5	163.6	242.6
Income/ (loss) from associates	—	—	—	—
Pre-tax profit	845.1	1,529.2	2,142.1	2,792.7
Provision for taxes	1.0	(37.9)	(168.1)	(348.0)
Minority interest	—	—	—	—
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	932.8	1,597.8	2,137.6	2,687.3
Net inc. (post-exceptionals)	529.7	1,068.1	1,513.3	1,972.1
EPS (basic, pre-exception) (\$)	5.00	8.32	11.01	13.68
EPS (diluted, pre-exception) (\$)	4.62	7.90	10.49	13.04
EPS (ex-ESO exp., dil.) (\$)	--	--	--	--
DPS (\$)	—	—	—	—
Div. payout ratio (%)	0.0	0.0	0.0	0.0
Wtd avg shares out. (basic) (mn)	186.4	192.2	194.1	196.4
Wtd avg shares out. (diluted) (mn)	202.1	202.2	203.8	206.1

Balance Sheet (\$ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	953.6	2,175.5	3,939.7	6,242.9
Accounts receivable	590.2	851.0	1,097.4	1,364.1
Inventory	—	—	—	—
Other current assets	1,592.3	1,399.0	1,427.9	1,459.0
Total current assets	3,136.0	4,425.6	6,465.0	9,066.0
Net PP&E	33.5	29.5	28.1	28.9
Net intangibles	57.7	51.5	49.6	47.8
Total investments	0.0	0.0	0.0	0.0
Other long-term assets	12.0	11.8	11.8	11.8
Total assets	3,239.2	4,518.4	6,554.5	9,154.5
Accounts payable	62.9	96.4	127.9	161.7
Short-term debt	—	—	—	—
Current lease liabilities	7.0	7.8	7.8	7.8
Other current liabilities	201.3	261.2	312.1	369.8
Total current liabilities	271.3	365.4	447.8	539.3
Long-term debt	—	—	—	—
Non-current lease liabilities	16.2	13.1	13.1	13.1
Other long-term liabilities	22.7	0.1	0.1	0.1
Total long-term liabilities	38.9	13.2	13.2	13.2
Total liabilities	310.1	378.5	461.0	552.4
Preferred shares	0.0	0.0	0.0	0.0
Total common equity	2,929.0	4,139.9	6,093.5	8,602.1
Minority interest	—	—	—	—
Total liabilities & equity	3,239.2	4,518.4	6,554.5	9,154.5
BVPS (\$)	15.33	21.44	31.21	43.50

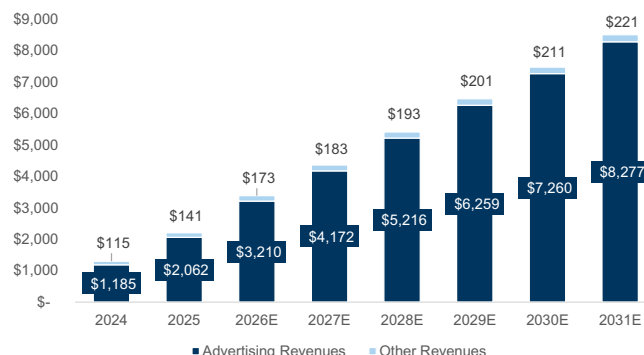
Cash Flow (\$ mn)

	12/25	12/26E	12/27E	12/28E
Net income	529.7	1,068.1	1,513.3	1,972.1
D&A add-back	15.9	16.6	12.7	11.9
Minority interest add-back	—	—	—	—
Net (inc)/dec working capital	(176.8)	(223.8)	(192.7)	(206.3)
Others	322.0	492.4	611.6	703.3
Cash flow from operations	690.9	1,353.4	1,944.8	2,481.0
Capital expenditures	(6.7)	(8.2)	(9.5)	(10.9)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	(212.2)	221.8	0.0	0.0
Cash flow from investing	(218.9)	213.5	(9.5)	(10.9)
Dividends paid	—	—	—	—
Share issuance/(repurchase)	—	(339.6)	(200.0)	(200.0)
Inc/(dec) in debt	—	—	—	—
Others	(80.6)	(5.4)	28.8	33.2
Cash flow from financing	(80.6)	(345.0)	(171.2)	(166.8)
Total cash flow	391.4	1,221.9	1,764.2	2,303.2
Free cash flow	684.2	1,345.1	1,935.4	2,470.1
Free cash flow per share (basic) (\$)	3.67	7.00	9.97	12.58

Source: Company data, Goldman Sachs Research estimates.

management's execution in the coming periods (against what has been a consistent narrative around the forward growth opportunity) for better visibility into these debates. Overall, we see Reddit as positively levered to several long-term secular growth themes within our sector across both digital advertising (increasing penetration of digital as a % of total media spend & engagement) and AI (incl. a scaling data licensing opportunity and rapidly evolving on-platform AI search product). We maintain our Neutral rating and adjust our 12-month price target from \$220 to \$215 as we update our forward operating estimates for this earnings report and mgmt commentary.

Exhibit 1: Reddit - Total Revenue Breakdown (GSe)
\$mm, 2023-2030E



Source: Company data, Goldman Sachs Global Investment Research

Q2'26 Positives & Negatives:

Positives: a) Q2 total revenues beat GSe/Street & guidance with Q3 revenue guided ahead of prior expectations on the back of strength in the core advertising business (broad based strength across full ad funnel, industry verticals, and sales channels – with scaled channel revenue doubling YoY); b) Management highlighted measurable improvements from AI/ML investments and ad product innovation (i.e. growing adoption of Reddit Max drove +60% advertiser growth and 150%+ revenue growth QoQ); & c) Q2 Adj. EBITDA came in well above both prior management and GSe/Street expectations (+106% YoY), driven by revenue outperformance and continued cost efficiency.

Negatives: a) Q3 US DAUs declined sequentially and total DAU sequential net adds declined despite ongoing efforts to improve user acquisition (by way of elevated marketing spend); b) Management noted search referral traffic volatility in the quarter, which is expected to remain a headwind (albeit moderating) in Q3; & c) While management remains positive on long-term growth potential around data licensing deals and the broader AI ecosystem, no new large-scale partnerships announced this quarter (with limited visibility into timing and renewals).

Q3'26 & FY2026 Estimate Changes:

Q3'26: Revenues of \$868mm (from prior \$796mm); Adj. EBITDA of \$391mm (from prior \$349mm); & GAAP EPS of \$1.23 (from prior \$1.14). **2026:** Revenues of \$3.38bn (from prior \$3.16bn); Adj. EBITDA of \$1.53bn (from prior \$1.40bn); & GAAP EPS of \$5.28 (from prior \$4.73).

Exhibit 2: Q2'26 Actuals vs. Estimates

mm, except per share data

	<u>Actuals</u>	<u>GS</u>	<u>Consensus</u>	<u>Guidance</u>	<u>Actuals vs.</u> <u>GS</u>	<u>Actuals vs.</u> <u>Cons</u>	<u>QoQ</u> <u>Change</u>	<u>YoY</u> <u>Change</u>
DAUs (Total)	130.3	131.3	130.1		-1%	0%	3%	18%
US DAUs	53.2	54.5	54.1		-2%	-2%	-1%	6%
Int'l DAUs	77.1	76.8	76.0		0%	1%	5%	28%
Revenues (Total)	\$ 805	\$ 722	\$ 729	<i>\$715-725m</i>	11%	10%	21%	61%
US Revenues	\$ 638	\$ 581	\$ 569		10%	12%	21%	56%
Int'l Revenues	\$ 167	\$ 141	\$ 160		19%	4%	21%	84%
GAAP EBITDA	\$ 236	\$ 174	\$ 189		36%	25%		
Adj. EBITDA	\$ 343	\$ 293	\$ 300	<i>\$285-295m</i>	17%	14%		
% margin	42.6%	40.5%	41.1%		207 bps	152 bps		
GAAP EPS	\$ 1.25	\$ 0.92	\$ 0.97		36%	29%		

Source: Company data, FactSet, Goldman Sachs Global Investment Research

Exhibit 3: Q3'26, 2026, 2027 & 2028 Estimates Changes

mm, except per share data

	<u>Q3 2026</u>				<u>2026</u>			<u>2027</u>			<u>2028</u>		
	<u>Old</u>	<u>New</u>	<u>% Change</u>	<u>Guidance</u>	<u>Old</u>	<u>New</u>	<u>% Change</u>	<u>Old</u>	<u>New</u>	<u>% Change</u>	<u>Old</u>	<u>New</u>	<u>% Change</u>
DAUs (Total)	135.8	134.3	-1%		140.3	138.8	-1%	153.7	151.8	-1%	164.9	162.8	-1%
US DAUs	55.5	53.7	-3%		56.5	54.7	-3%	59.9	57.7	-4%	63.1	60.7	-4%
Int'l DAUs	80.3	80.6	0%		83.8	84.1	0%	93.8	94.1	0%	101.8	102.1	0%
Revenues (Total)	\$ 796	\$ 868	9%	<i>\$860-870m</i>	\$ 3,159	\$ 3,383	7%	\$ 4,127	\$ 4,356	6%	\$ 5,125	\$ 5,408	6%
US Revenues	\$ 639	\$ 684	7%		\$ 2,502	\$ 2,652	6%	\$ 3,174	\$ 3,296	4%	\$ 3,820	\$ 3,956	4%
Int'l Revenues	\$ 158	\$ 184	17%		\$ 657	\$ 731	11%	\$ 953	\$ 1,060	11%	\$ 1,305	\$ 1,452	11%
GAAP EBITDA	\$ 218	\$ 237	8%		\$ 906	\$ 1,016	12%	\$ 1,449	\$ 1,531	6%	\$ 1,998	\$ 2,089	5%
% margin	27.4%	27.3%	-14 bps		28.7%	30.0%	137 bps	35.1%	35.1%	3 bps	39.0%	38.6%	-35 bps
Adj. EBITDA	\$ 349	\$ 391	12%	<i>\$385-395mm</i>	\$ 1,403	\$ 1,529	9%	\$ 1,996	\$ 2,142	7%	\$ 2,599	\$ 2,793	7%
% margin	43.9%	45.1%	120 bps		44.4%	45.2%	79 bps	48.4%	49.2%	82 bps	50.7%	51.6%	92 bps
GAAP EPS	\$ 1.14	\$ 1.23	7%		\$ 4.73	\$ 5.28	12%	\$ 7.03	\$ 7.43	6%	\$ 9.12	\$ 9.57	5%
Adj. EPS	\$ 1.80	\$ 2.01	12%		\$ 7.24	\$ 7.90	9%	\$ 9.74	\$ 10.49	8%	\$ 12.07	\$ 13.04	8%

Source: Goldman Sachs Global Investment Research

Valuation: Maintain Neutral Rating; Lower PT to \$215 (from \$220)

Our \$215 12-month price target (from \$220 prior) is based on an equal blend of (1) EV/Sales applied to our NTM + 1 year estimates and (2) a modified DCF using EV/GAAP EBITDA multiple applied to our NTM + 4 years estimates discounted back 3 years. Specifically:

- 8.0x EV/Sales (unchanged) or 0.25x EV/Sales-to-growth applied to our NTM + 1 year estimates.
- 18.0x EV/GAAP EBITDA (from 21.5x) or 0.81x EV/GAAP EBITDA-to-growth applied to our NTM + 4 years estimates discounted back 3 years at 12% (unchanged). We lower our multiple to maintain a ~0.8x multiple-to-growth. The discount rate represents CAPM using the blended average of companies within our coverage universe consisting of: (1) 3% risk free rate (based on the normalized 10-year rate); (2) average beta of ~1.3; (3) equity risk premium of 7%.

Exhibit 4: RDDT Valuation Analysis

mm, except per share data

Scenario Analysis				
	Downside	Base	Upside	
Valuation	\$ 120	\$ 215	\$ 280	
% upside/downside	-25%	35%	76%	
Sales (NTM)	\$ 3,423	\$ 3,803	\$ 4,183	
Downside/Upside Adjustment	-10%	-	10%	
Sales (NTM + 1 year)	\$ 4,233	\$ 4,810	\$ 5,387	
Downside/Upside Adjustment	-12%	-	12%	
EV / Sales	4.0x	8.0x	10.0x	
Sales CAGR	23.4%	31.6%	39.2%	
EV / Sales to Growth	0.17x	0.25x	0.25x	
Enterprise Value	\$ 16,932	\$ 38,482	\$ 53,874	
GAAP EBITDA (NTM + 4 years)	\$ 2,849	\$ 3,222	\$ 3,403	
EBITDA Margin %	36.0%	40.7%	43.0%	
EV / EBITDA	13.0x	18.0x	20.0x	
EBITDA CAGR	17.4%	22.3%	24.6%	
EV / EBITDA-to-Growth	0.75x	0.81x	0.81x	
Discount Rate	15.0%	12.0%	10.0%	
Discount Period (Years)	3	3	3	
Enterprise Value (NTM + 3 years)	\$ 37,039	\$ 57,989	\$ 68,063	
Discounted Enterprise Value	\$ 24,354	\$ 41,275	\$ 51,136	
Weightings				
EV derived from Sales	50%	50%	50%	
EV derived from GAAP EBITDA	50%	50%	50%	
Enterprise Value	\$ 20,643	\$ 39,878	\$ 52,505	
Capital Structure Adjustments				
Adjusted Net Debt - NTM Ending	\$ (4,267)	\$ (4,267)	\$ (4,267)	
Adjusted Shares Outstanding - NTM Ending	203	203	203	

Source: Goldman Sachs Global Investment Research

Key risks to our Neutral rating (what would make us more or less constructive): 1) current headwinds to advertiser demand (driven by platform policy changes, macroeconomic conditions & competition) deviate from our current expectations (either persist for longer or see faster recovery vs. our modeling); 2) competition for user growth, user engagement and advertising dollars across an array of incumbent and emerging Internet, media and commerce companies; 3) ability to capitalize on global user growth opportunity; 4) margin puts/takes (to the positive: ARPU growth, high incremental gross margins, low total non-GAAP opex growth; to the negative: AI/ML investments, investments in product innovation, stock-based compensation); 5) the current regulatory environment of all media platforms with respect to user data/privacy; 6) potential overhang from the expiration of employee/shareholder lock-ups; & 7) execution against monetization of growth initiatives (data licensing, direct-response advertising, international monetization, developer platform, etc.). In addition, Reddit is

exposed to the volatility caused by the global macroeconomic environment & investor risk appetite for growth stocks.

Disclosure Appendix

Reg AC

We, Eric Sheridan, Alex Vegliante, CFA, Emma Huang and Aarshiya Sachdeva, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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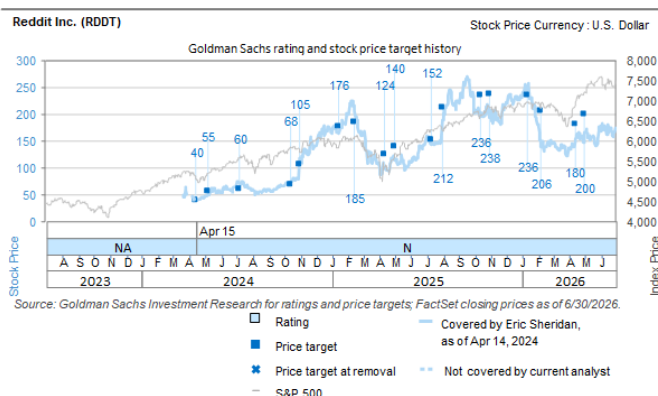
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Global	50%	34%	16%	65%	59%	43%

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Price target and rating history chart(s)



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Target price history table(s)

Reddit Inc. (RDDT)

Date of report	Target price (\$)	Closing price (\$)
08-Jul-26	220.00	195.31
01-May-26	200.00	166.48
13-Apr-26	180.00	149.35
06-Feb-26	206.00	139.83
12-Jan-26	236.00	244.02
31-Oct-25	238.00	208.95
14-Oct-25	236.00	196.35
01-Aug-25	212.00	188.64
10-Jul-25	152.00	143.00
02-May-25	140.00	113.83
11-Apr-25	124.00	101.15
13-Feb-25	185.00	204.95
13-Jan-25	176.00	164.65
30-Oct-24	105.00	116.05
14-Oct-24	68.00	74.87
08-Jul-24	60.00	72.81
08-May-24	55.00	51.40
15-Apr-24	40.00	40.00

Price targets shown in table(s) are unadjusted for corporate actions.

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